

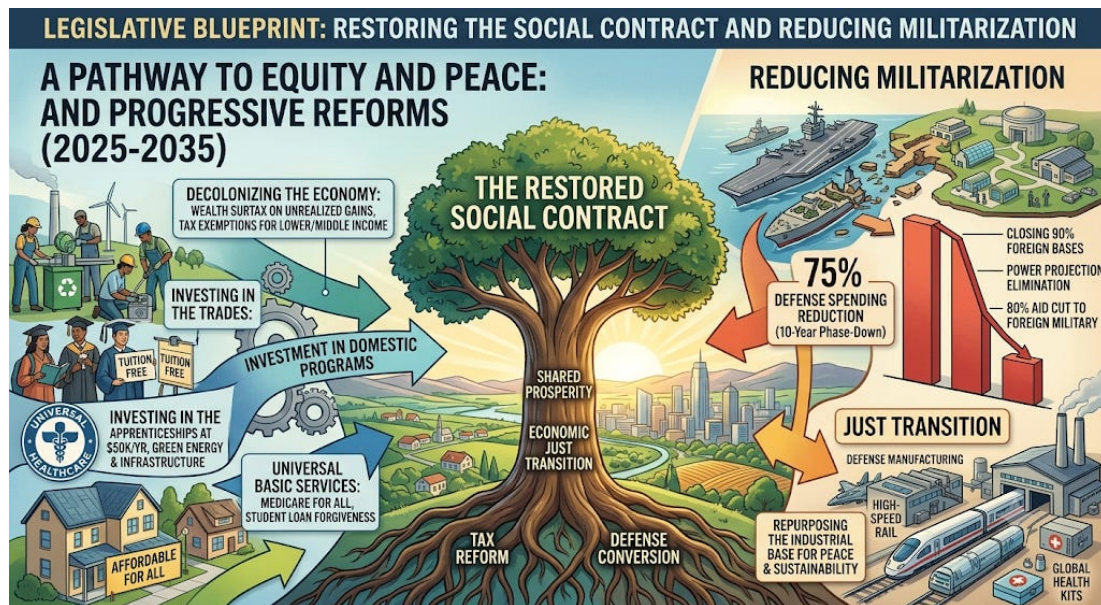
# A Legislative Blueprint for Restoring the Social Contract and Reducing Militarization

Reform, Not Seizure: A Constitutional and Phased Path to Economic Security and a Peace-Oriented Foreign Policy



BEACON OF HOPE

JUL 16, 2026



## Executive Summary

This proposal outlines a legally and economically viable path to two goals that are too often treated as separate: rebuilding the domestic social contract and ending the United States' reliance on permanent global military dominance. Both goals fail if pursued through seizure, freezing of assets, or blunt mandates — those approaches trigger fire sales, market panics, supply-chain collapse, and legal challenges that

would stall reform for a generation. Both goals succeed if pursued through the tools Congress and the executive branch already possess: the tax code, antitrust law, appropriations, and phased regulatory transition.

The blueprint below is organized in two parts. Part One addresses domestic policy — how to finance a universal safety net, exempt working people and fixed-income retirees from federal income tax, fund universal healthcare and debt-free trade apprenticeships, and dismantle predatory corporate and private-equity practices, all without triggering the kind of economic shock that would undermine public support. Part Two addresses foreign policy — how to reduce U.S. defense spending by roughly 75 percent over a decade, dismantle offensive power-projection capability, and convert that “peace dividend” directly into the jobs and infrastructure investment Part One requires.

The unifying argument is this: the legal authority to accomplish nearly all of this already exists. The obstacle is not the Constitution — it is legislative will, sequencing, and the lobbying power arrayed against reform.

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## **Part One: Financing the Social Contract Through Tax Reform**

### **1.1 Guiding Principle: Reform, Not Seizure**

Rather than freezing or confiscating assets — an approach that would provoke immediate capital flight, market panic, and years of litigation — this proposal uses the federal tax code to redistribute income and wealth going forward. Taxing the *growth* of large fortunes, rather than seizing the underlying asset base, avoids forcing a disorderly sell-off of equities that would itself crash the markets, reform is meant to fix.

## 1.2 Eliminating the Tax Burden on Working- and Fixed-Income Americans

Through the standard budget reconciliation process — which requires only a simple Senate majority for provisions with a primarily fiscal effect — Congress could:

- Raise the federal Standard Deduction to \$75,000 for individual filers (and proportionally for joint filers), effectively eliminating federal income tax liability for anyone earning below that threshold.
- Extend the existing partial tax exemption on Social Security benefits to all recipients, and broaden it to cover anyone with net assets under \$4 million, insulating retirees and the near-retired from federal taxation regardless of income source.

This is not a new mechanism. Reconciliation has been used repeatedly since 1981 to pass major tax changes, including the 2001, 2003, and 2017 tax acts, with a simple majority vote.

## 1.3 Restoring Progressive Taxation at the Top

To offset the resulting revenue loss, Congress would need to restore genuinely progressive rates at the top of the income and wealth distribution:

- **Top marginal income rates:** Reinstate brackets in the range of 50–70 percent on earned income above \$10 million, closer to the marginal rates the U.S. maintained through much of the mid-20th century (the top rate stood above 70 percent as recently as 1980).

- **A surtax on unrealized gains for ultra-high-net-worth households:** A wealth surtax modeled on proposals such as the Billionaire Minimum Income Tax would tax the *appreciation* of concentrated fortunes annually, rather than requiring a sale of the underlying asset. This targets the mechanism by which multi-generational wealth compounds tax-free — instead of the asset itself — avoiding the kind of forced liquidation that would depress equity markets broadly.

Both mechanisms are squarely within Congress's Article I taxing power and require no constitutional amendment, though a wealth tax on unrealized gains is expected to face Supreme Court scrutiny following related questions raised in *Moore v. United States* (2024); a surtax structured around appreciation of tradable assets held by the top 0.01 percent is the more litigation-resistant design.

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## Part Two: Underwriting Healthcare, Education, and Apprenticeship

### 2.1 Universal Healthcare

U.S. health care spending reached approximately **\$5.3 trillion in 2024** — about 18 percent of GDP, per the Centers for Medicare & Medicaid Services (CMS). That figure already includes private insurance premiums, employer contributions, and out-of-pocket costs. A single-payer “Medicare for All” system would not represent new spending so much as a **redirection** of dollars already flowing through the system — replacing fragmented private premiums and administrative overhead with a unified public payer. Administrative savings alone (the U.S. spends far more than peer nations on insurance billing and administration) could offset a meaningful share of the transition cost.

## 2.2 Student Debt Relief

Loan forgiveness authority already exists, in part, under the Higher Education Act of 1965, which grants the Secretary of Education authority to “compromise, waive, or release” federal student loans. This authority has been used for targeted relief (e.g., Public Service Loan Forgiveness, borrower-defense discharges) and was tested at a broader scale via executive action in 2022–2023, though a comprehensive, durable forgiveness program would be more legally secure if codified through direct congressional appropriation rather than executive action alone, given the legal challenges the 2022 attempt faced.

## 2.3 \$50,000/Year Trade Apprenticeships

The National Apprenticeship Act of 1937 already gives the Department of Labor authority to register and fund apprenticeship programs. This proposal expands that authority through:

- Federal grants and wage subsidies to employers who sponsor registered apprenticeships in high-demand fields — clean energy, grid infrastructure, advanced manufacturing, and construction trades.
- A guaranteed baseline wage floor of \$50,000 for apprentices in federally sponsored programs, financed jointly by employer tax credits and direct federal wage support.

This is the same statutory mechanism, expanded in scale and funding, rather than a new regulatory structure — reducing the legal risk of implementation.

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## Part Three: Restructuring Corporate Power

### 3.1 Why Antitrust Enforcement, Not a Market-Share Mandate

A blanket statutory cap — for example, “no company may hold more than 15 percent of any market,” enforced by a one-year forced divestiture — would very likely trigger cascading bankruptcies, supply-chain disruption, and broad market instability, since it would force simultaneous asset sales across every affected sector on a fixed deadline. The same structural outcome — a more competitive, less concentrated economy — can be achieved more safely and durably through existing law.

### 3.2 Revitalizing Existing Antitrust Statutes

The FTC and DOJ already hold broad authority under the Sherman Act (1890) and Clayton Act (1914) to block anticompetitive mergers and to sue to break up existing monopolies. Recent enforcement actions against large technology and agriculture conglomerates demonstrate that this authority is active, not dormant. This proposal calls for sustained funding increases to FTC and DOJ antitrust divisions, updated merger guidelines that presumptively challenge further consolidation in already-concentrated markets, and case-by-case structural remedies (divestiture, prohibition on cross-ownership) rather than a fixed, economy-wide market-share cap.

### 3.3 Reining in Private Equity

Rather than freezing private equity capital, Congress can change the legal incentives that make the predatory buyout model profitable. Legislation modeled on the **Stop Wall Street Looting Act** would:

- Make PE firms jointly liable for the debts of portfolio companies they control, ending the practice of loading target companies with debt and walking away from the resulting bankruptcy.

- Ban dividend recapitalizations and other payouts that strip cash from a newly acquired company within the first two years of ownership.
- Close the carried-interest loophole, taxing PE fund managers' compensation at standard income tax rates rather than the lower capital-gains rate.

These changes make the extractive version of the PE business model unprofitable while leaving ordinary productive investment untouched.

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## Part Four: A Phased 75 Percent Reduction in Defense Spending

### 4.1 Scale of the Shift

U.S. national defense discretionary spending is roughly **\$1.0–1.05 trillion** in FY2026, once reconciliation-funded defense appropriations are included alongside the base Pentagon budget. A 75 percent reduction, phased over a decade, would bring that figure down to roughly **\$250–260 billion annually** — sized for coastal defense, domestic airspace monitoring, and homeland missile defense rather than global power projection.

This is not proposed as an immediate cut. A sudden 75 percent reduction in a single budget cycle would be economically and strategically reckless. The plan below is deliberately phased over ten years and tied contractually to the domestic reinvestment described in Parts One and Two.

### 4.2 Phasing Out the Power-Projection Fleet

Over the ten-year window, new procurement of offensive power-projection platforms would wind down first, followed by phased decommissioning of existing platforms as they reach scheduled maintenance or retirement points:

- Reducing the current 11 aircraft carrier strike groups to a smaller number, sized for defensive and humanitarian missions.
- Mothballing long-range strategic bombers and halting procurement of next-generation offensive fighter programs.
- Reorienting the Navy and Air Force toward coast guard operations, domestic airspace monitoring, and localized missile defense rather than rapid global strike capability.

## 4.3 Closing the Global Footprint

The Pentagon's own figures put the U.S. overseas footprint at roughly **700–800 base sites in approximately 80 countries** (independent tallies that include less formally acknowledged installations run somewhat higher; the Pentagon's own published count of officially designated sites is lower). A phased closure of roughly 10 percent of foreign installations per year would fully wind down the network within a decade, while giving host nations, allied logistics chains, and local economies time to adjust. This drawdown would also allow the active-duty force — currently about **1.35 million** — to shrink toward a smaller, better-compensated, primarily domestic-focused force, since the greatest share of overseas manpower needs is tied to garrison and logistics functions for the forward-deployed footprint being closed.

## 4.4 Reforming Foreign Military Financing

Foreign Military Financing is appropriated through the State Department budget, separately from the Pentagon's own budget, which makes it more directly adjustable through the ordinary congressional appropriations process without touching domestic defense-industrial

jobs. As an illustrative example: reducing the current baseline security assistance package to Israel (historically around \$3.3 billion annually under the 2016 Memorandum of Understanding) by roughly 80 percent — to approximately \$660 million — could be enacted through the standard appropriations process, though it would require renegotiating or exiting the underlying MOU and would face substantial political resistance. Congressional votes in recent years — including amendments backed by more than 100 House members to restrict conditions on military aid — indicate that the political terrain on this question has already begun to shift.

## **4.5 The Just Transition: Industrial Conversion and Workforce Absorption**

The central obstacle to a defense drawdown of this scale is not military risk — it is the jobs and local economies built around defense manufacturing and base operations over the past 80 years. This is the same problem industrial policy has solved before, at the same scale: converting the WWII-era arsenal of democracy into a civilian manufacturing base was a deliberate act of federal industrial policy, not a market accident.

This proposal ties the defense drawdown contractually to a reinvestment mandate:

- Federal transition grants and tax incentives for defense contractors and subcontractors that convert existing manufacturing capacity toward high-speed rail, grid modernization, and clean-energy infrastructure — sectors that draw on largely the same engineering, machining, and systems-integration skill sets.
- Direct funding pipelines from the annual defense savings into the \$50,000-baseline trade apprenticeship program outlined in Part Two, prioritizing discharged service members and displaced defense-sector workers.

- Base Realignment and Closure (BRAC)-style regional transition offices in communities economically dependent on a closing installation, funded for a minimum of five years post-closure — modeled on, but better-funded than, the transition support provided during the 1988–2005 BRAC rounds.

Pacing the cuts over a decade and legally binding each year's savings to a specific domestic reinvestment appropriation is what distinguishes this proposal from an abrupt, destabilizing cut: the same dollar that leaves the defense budget is contractually committed to be reinvested through the apprenticeship, infrastructure, and healthcare programs described above, rather than simply disappearing from the economy.

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## Sequencing and Political Strategy

None of the above requires a constitutional amendment or novel executive authority. Nearly every mechanism described — reconciliation-based tax changes, Sherman/Clayton Act enforcement, Higher Education Act authority, National Apprenticeship Act grants, State Department appropriations, and phased defense appropriations — already exists in statute. The binding constraint is congressional votes, not legal authority.

Two sequencing paths are available, and they are not mutually exclusive:

**Tax reform first.** Raising the standard deduction and cutting taxes for those under \$75,000 is broadly popular across party lines and can build momentum before the harder fight over top marginal rates and antitrust enforcement, which will draw the most intense lobbying resistance.

**Antitrust enforcement first.** Breaking up concentrated corporate power addresses the political economy problem directly —

concentrated corporate wealth is a primary funder of the lobbying resistance that blocks tax and healthcare reform. Aggressive FTC/DOJ action requires no new legislation at all in many cases, only sustained executive-branch enforcement priority and budget appropriations for enforcement staff, making it the lower-friction starting point.

A pragmatic strategy runs both tracks in parallel: pursue antitrust enforcement administratively (since it needs no new statute) while building the legislative coalition for reconciliation-based tax reform, so that by the time tax reform reaches a vote, the lobbying apparatus opposing it has already been partially weakened.

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## Conclusion

Restoring the social contract and reducing the United States' reliance on permanent global military dominance are not separate reforms — they are financially and politically linked. The revenue redirected from a leaner, less offensively postured defense budget is precisely the funding source that makes universal healthcare, tuition-free trade apprenticeships, and a genuine safety net durable rather than dependent on unstable annual appropriations fights. And a tax code and antitrust framework that no longer permit unlimited concentration of private wealth is what keeps the political coalition for that reform intact over time.

None of this requires seizing assets, freezing markets, or inventing new constitutional authority. It requires legislative majorities willing to use the tools Congress already has.

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## Sources and Supporting Data

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- USAFacts, *Where are US military members stationed?* — [usafacts.org](https://usafacts.org)
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*Note: Figures such as total defense discretionary spending and total national health expenditures are updated here to the most recently reported (2024–2026) government figures, which are somewhat higher than the earlier baseline figures referenced in the original outline of this proposal; the underlying percentage-reduction and redirection logic is unchanged.*